

M/S Dev Cold Storage Pvt. Ltd. v. Dakshinachal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 15 September 2025 · Writ-C No. 14806 of 2006 with Writ-C No. 59150 of 2007 · **2005 assessment by EE (Revenue) quashed; 2007 assessment left to appeal without pre-deposit; other prayers not pressed.**

HEADNOTE

Only the Executive Engineer (Distribution), not the Executive Engineer (Revenue), may pass an assessment bill and demand under s.135 of the Electricity Act, 2003 read with clause 6.8 of the Supply Code, 2005. A later s.135 revised assessment by the Distribution Executive Engineer was not quashed; the consumer was given liberty to appeal without pre-deposit. The challenge to clause 8.2(iv) as ultra vires s.126(6) was not pressed.

FACTUAL SUMMARY

Dev Cold Storage challenged DVVNL's 17 December 2005 revised assessment and 20 December 2005 demand, issued by the Executive Engineer (Revenue) under s.135 of the Electricity Act, 2003 read with clause 6.8(c) of the Supply Code, 2005, and also sought to strike down clause 8.2(iv) as ultra vires s.126(6). A later writ attacked a September 2007 revised assessment and bill under s.135 passed by the Executive Engineer (Distribution). The consumer's case was that only the Distribution Executive Engineer could assess.

REUSABLE CONSTRUCTIONS

1. The power to pass an assessment bill and demand notice in purported exercise of Section 135 read with clause 6.8(c) lies with the Executive Engineer (Distribution), not the Executive Engineer (Revenue); an assessment by the latter is without competence and is quashed. ¶ 5
2. A revised assessment passed by the Executive Engineer (Distribution) is not examined on the merits in writ; the consumer may appeal without pre-deposit where a substantial amount has already been deposited, and the appellate authority must hear and pass a reasoned order. ¶ 6

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

assessing officer competence

HOLDING

Power to pass an assessment bill and demand notice — here the revised assessment dated 17.12.2005 and demand dated 20.12.2005 purported to be under s.135 of the Electricity Act, 2003 read with clause 6.8(c) of the Supply Code, 2005 — does not lie with the Executive Engineer (Revenue); it lies with the Executive Engineer (Distribution). The 2005 order and demand are quashed. ¶ 5

FLAG 2005 prayer cites clause 6.8(c); court did not apply a numbered sub-clause

HOLDING-UNIT · EA2003::135

appeal against revised assessment

HOLDING

A revised assessment order and bill of September 2007 passed by the Executive Engineer (Distribution) under s.135 are not quashed on merits. The consumer may appeal them within four weeks without pre-deposit, substantial amounts having already been deposited; the appellate authority shall grant a hearing and pass a reasoned order in accordance with law within eight weeks of filing. ¶ 6

clause-6.8-hearing-procedure-mandatory-before-uue-conclusion Only the Executive Engineer (Distribution), not the Executive Engineer (Revenue), may pass an assessment bill and demand under s.135 of the Electricity Act, 2003 read with clause 6.8 of the Supply Code, 2005.. ¶ 5

s135-arrest-safeguards-and-compounding-remedy Only the Executive Engineer (Distribution), not the Executive Engineer (Revenue), may pass an assessment bill and demand under s.135 of the Electricity Act, 2003 read with clause 6.8 of the Supply Code, 2005.. ¶ 5

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 8.2(IV) OF THE SUPPLY CODE, 2005 IS ULTRA VIRES S.126(6) OF THE ELECTRICITY ACT, 2003
not pressed ¶ 6

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.